NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 3

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

A buyer's willingness to pay (WTP) for a good is

a. The minimum amount the buyer will pay for that good.
b. The minimum amount the seller will charge for that good.
c. The maximum amount the buyer will pay for different quantities of that good.
d. The maximum amount the seller will charge for that good.

Correct Answer: c

Solution: A buyer's willingness to pay (WTP) for a good is the maximum amount the buyer will pay for a certain quantity of that good.

QUESTION 2:

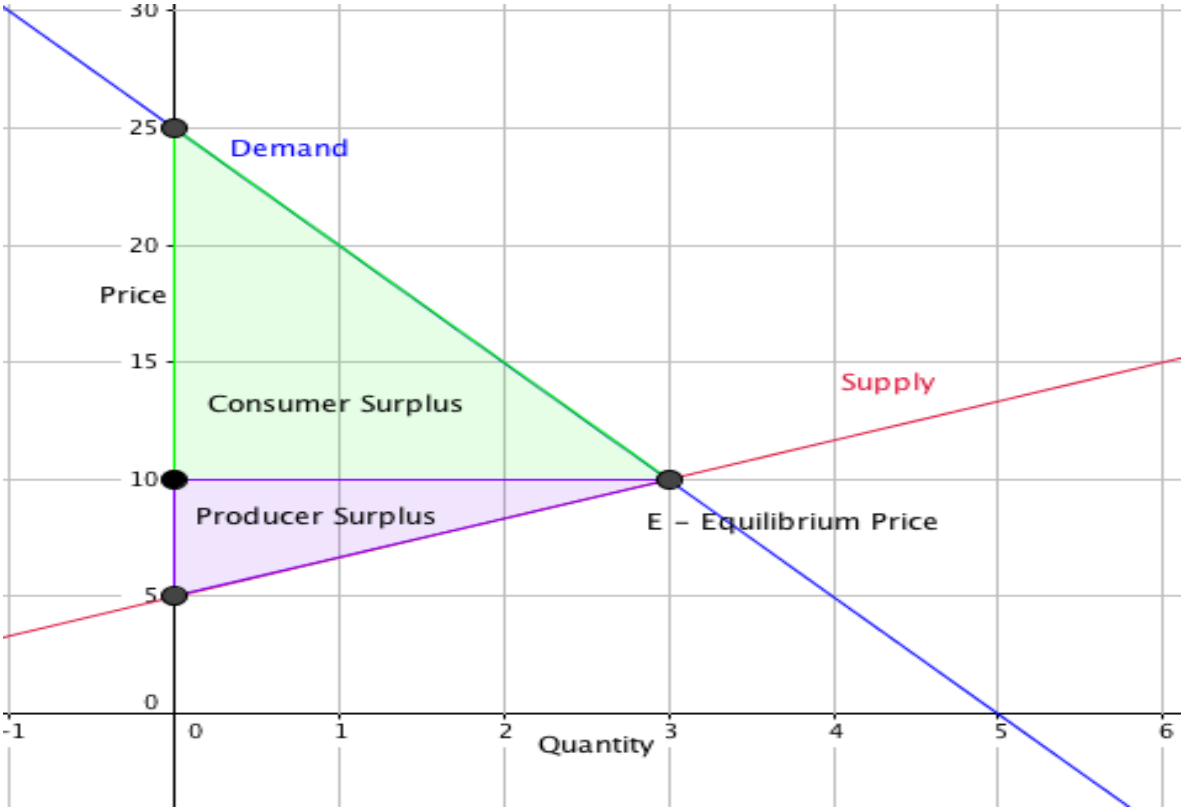
Consumer surplus is

a. Consumer willingness to pay plus the amount actually pays by consumer.
b. Consumer willingness to pay minus the amount actually paid by consumer.
c. Consumer willingness to pay plus the cost of producing it.
d. Consumer willingness to pay minus the cost of producing it.

Correct Answer: b

Solution: Refer the definition of consumer surplus.

QUESTION 3:



Total surplus in the economy is

a. Rs.40
b. Rs 10
c. Rs 30
d. Rs.25

Correct Answer: c

Solution: Total surplus in the economy = consumer surplus + producer surplus = 0.5* (25-10)*3+0.5*(10-5)*3 = 30

QUESTION 4:

Producer surplus is

a. The amount a seller is paid for a good plus seller's cost.
b. The amount a seller is paid for a good minus seller's cost.
c. The amount a seller is paid for a good.

d. The amount a seller is paid for a good plus profit.

Correct Answer: b

Solution: Refer the definition of producer surplus.

QUESTION 5:

Total surplus in an economy can be maximized

a. If quantity of goods produced is increased.
b. If quantity of goods produced is decreased.
c. By moving towards market equilibrium quantity.
d. None of the above

Correct Answer: c

Solution: Total surplus in an economy can be maximized at any other quantity moving towards market equilibrium quantity.

QUESTION 6:

An allocation of resources will be efficient if it

a. Nullifies consumer surplus.
b. Minimizes producer surplus.
c. Maximizes total surplus.
d. Minimizes producer surplus

Correct Answer: c

Solution: Resource allocation will be efficient if it maximizes total surplus.

QUESTION 7:

A price ceiling above the equilibrium price

a. Causes to shortage.
b. Has no impact on market outcome.
c. Causes to surplus.
d. Can improve the market outcome.

Correct Answer: b

Solution: Price ceiling above the equilibrium price has no impact on market outcome.

QUESTION 8:

If the demand for picture frame is highly elastic, and supply for picture frame is highly inelastic, a tax of Rs.60 per frame levied on the picture frame will decrease the effective price received by the sellers of the picture frames by

a. Rs.60
b. Between Rs. 30 and Rs.60.
c. Rs. 30
d. Less than Rs.30

Correct Answer: b

Solution: In this case, tax burden will be more on sellers than the buyers.

QUESTION 9:

If supply is more elastic than demand, the tax burden is more on

a. Government
b. Sellers
c. Equally shared
d. Consumers

Correct Answer: d

Solution: In this case, supply is more flexible i.e., tax burden will be more on buyers.

QUESTION 10:

The wholesale market equilibrium price is Rs.45 per kg for wheat, and the quantity sold in the market is 100 tonnes. Which of following policies would create a shortage of wheat?

a. A price ceiling of Rs.50 per kg.
b. A price floor of Rs. 40 per kg.
c. A price ceiling of Rs.40 per kg.
d. A price floor of Rs.50 per kg.

Correct Answer: c

Solution: shortage will occur if ceiling price < market equilibrium price.

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